Personal Auto Rating and Rules Manual

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Audience: Underwriting, agency staff, and actuarial reference

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This manual expands on the Underwriting Guidelines' rating overview with the detailed factors and rules used to price a Personal Auto policy. Rating affects premium only; it has no bearing on coverage, limits, deductibles, or how a claim is adjudicated once a policy is in force — see Underwriting Guidelines, Section 3.

1. Base Rate Structure

Each covered auto is rated using a base rate for its coverage territory, adjusted by the multiplicative rating factors in Sections 2 through 6 below. The base rate itself is filed with and approved by the Ohio Department of Insurance and is not reproduced in full here; this manual documents the rating *factors*, which is the information relevant to explaining a premium to a policyholder or agent.

2. Vehicle Rating Factors

2.1 Vehicle Symbol

Each vehicle is assigned a rating symbol based on its make, model, and model year, reflecting historical claim frequency and average severity for that vehicle. A higher-symbol vehicle (typically higher-value or higher-performance) carries a higher Comprehensive and Collision rating factor.

2.2 Safety Equipment Discount

A vehicle equipped with factory-installed forward-collision warning and automatic emergency braking receives a Collision rating discount, reflecting reduced at-fault collision frequency for equipped vehicles.

2.3 Anti-Theft Discount

A vehicle equipped with a factory or approved aftermarket anti-theft device receives a Comprehensive rating discount.

3. Driver Rating Factors

3.1 Years Licensed and Age

Premium reflects years licensed and driver age, consistent with actuarially observed claim frequency by experience band; this factor decreases as years-licensed increases, all else equal, up to a plateau.

3.2 Violation and Accident Surcharge

A moving violation or at-fault accident within the preceding 3 years applies a surcharge factor for 3 years from the violation or accident date, then rolls off. A not-at-fault accident (as determined by the adjudication process, not merely as reported) does not apply a surcharge.

3.3 Good Student Discount

A driver under 25 maintaining at least a B average, verified annually, receives a discount factor on the portion of premium attributable to that driver.

3.4 Multi-Policy Discount

A policyholder who also carries a Meridian Mutual homeowners or renters policy receives a multi-policy discount factor, applied at the account level.

4. Coverage Selection Factors

4.1 Limit Selection

Higher Liability, UM/UIM, and Medical Payments limits increase premium proportionally to the increased limit, using filed increased-limit factor tables, not a simple linear scaling.

4.2 Deductible Selection

A higher Collision or Comprehensive deductible reduces premium for that coverage part; the deductible-factor table is symmetric with the increased-limit table in structure, just applied in the opposite direction.

5. Territory

5.1 Territory Assignment

Each covered auto is assigned to a rating territory based on its garaging ZIP code, reflecting territory-level claim frequency and severity history. Territory assignment is independent of the named insured's driving record.

5.2 Territory Relativity

A territory's relativity factor may exceed 1.0 (higher-than-average expected loss cost) or be below 1.0, and is recalculated periodically from claims experience, subject to regulatory filing and approval.

6. Program-Specific Rating Adjustments

6.1 Usage-Based Insurance

A policyholder enrolled via the Telematics Program Enrollment Endorsement (END-TEL-01) has a portion of their rating determined by observed driving-behavior data as described in the Telematics and Usage-Based Insurance Program Terms, replacing a portion of the standard age/experience-band rating for that policyholder specifically.

6.2 Ride-share/TNC Rating

A policyholder with the Ride-share/TNC Endorsement (END-RS-01) attached is rated with an additional factor reflecting the increased exposure of ride-share driving hours, distinct from — and in addition to — the endorsement's coverage effect described in Policy Wording Section 7.6.

7. Tier Assignment

7.1 How Tier Is Determined

Beyond the individual factors above, each policy is assigned to one of several pricing tiers based on a composite score of prior insurance history, claims history, and credit-based insurance score where permitted by Ohio law. Tier assignment affects the base rate applied before the factors in Sections 2 through 6 are multiplied in.

7.2 Tier Reassignment at Renewal

Tier is reassessed at each renewal using then-current information; a policyholder's tier may improve or worsen at renewal independent of any specific rating factor changing, if the composite score itself shifts.

8. Rating Is Never Used in Claims Adjudication

No rating factor, tier, or score described in this manual is used as an input to any claims-adjudication decision. The Claims Adjudication Guidelines' five-step sequence depends only on the Declarations page's coverage selections, the governing Policy Wording, and the facts of the specific loss — never on how the premium for that coverage was calculated.